



CHECKING ALL BOXES ITC Chairman & MD Sanjiv Puri says that for an M&A deal to happen, it necessarily has to be value-accretive

concepts like choco fills or shower gel. Likewise, we brought the pocket perfume to the market.

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You have a big advantage in terms of synergies within businesses...

Yes, that is something unique about ITC.

The synergy of ITC's institutional strengths is indeed unique. The foods business derives competitive advantage from the sourcing strengths of the agri business, the cuisine expertise of ITC Hotels, the innovation capacity of our packaging business as well as our extensive distribution network. The Classmate stationery brand gains

from the paperboards and specialty paper business. Our Fabelle chocolates were developed by master chocolatiers from the hotels business. Likewise, the *agarbatti* brand, Mangaldeep, is also leveraging our plantation expertise.

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ITC has made some interesting moves in acquisitions (some examples are Sunrise Foods, Nimyle, B Natural). What is your mantra for M&A?

There are a few boxes that need to be ticked. At the outset is the vision we have for the portfolio and, therefore, what white spaces are relevant.

Then, we need to look at a potential acquisition from a consumer trend point of view. Finally, there needs to be a sound understanding of the competitive landscape and our own right to win.

Take the case of Sunrise. Spices is a ₹50,000-crore industry and it takes a lot of time to develop a brand; inorganic was therefore a good option. A key metric of valuation was the Ebitda multiple and the growth opportunity. An M&A has to be value-accretive to us. Other good examples are what we have done with Savlon and Nimyle. Today, Savlon has innovated and demonstrated brand extensions that work, coupled with the speed of execution. The objective has been to democratise the brand and it has worked well.

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It's not only big-ticket buyouts that you have made...

Yes, there are cases like Sparsh [Mother Sparsh Baby Care was acquired in 2021 when ITC picked up a 16 per cent stake in the D2C ayurvedic and natural personal care brand]. Here, if a space is interesting, like mother and child, we will look

at it. Then, if the option to acquire small stakes initially seems logical, we will do so and remain invested. Eventually, if there is an opportunity for a complete buyout, we could do it but only if it fits in with our strategy.

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Coming back to FMCG, foods is the largest piece of your business, right?

Yes, and that is also how the overall market is moving. Plus, we have a very robust agri sourcing that sits well with it. Over time, we have attained strong leadership positions in key categories—like *atta* with Aashirvaad, cream biscuits with Sunfeast or Bingo in the bridge segment of snack foods. Our agri expertise has been a huge advantage in the success of *atta* given our superior sourcing and blending capabilities.

Foods is a business that we started off with [and] are over-indexed. Our USP here is the knowledge of chefs and cuisine.

Our Master Chef frozen snacks have been fine-tuned by our chefs.

Incidentally, we are also the largest player in the stationery business and second in *agarbattis*, but these are relatively smaller segments.

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